

Assessing the Thai Paddy Pledging Policy: Its Performance and Social Costs

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The paper assesses the benefits and costs of the Thai paddy pledging policy between October 2011 and May 2014. The scheme, which purchased 52 percent of total paddy production from the farmers, was to date the largest intervention by the government in the rice market. Its total costs were 984 billion baht (or 41% of the 2013 fiscal budget). The government also became the largest rice seller, trying unsuccessfully to corner the export market by withholding large supplies of rice from the market. Thai rice export dropped sharply as the export prices of Thai rice were much higher than those of India and Vietnam which toppled Thailand from the world largest exporter position. The attempt to release rice through the channel of Government-to-government sales failed. But the government refused to admit its failure and kept all rice sale information in secret. In fact, most of the claimed G-to-G sales were sold to the connected traders who in turn sold them in the domestic market.

The policy directly benefited at least one third of the rice farmers who sold rice to the government. Other non-participating farmers also benefited from the higher domestic price. Yet most of the benefits went to the medium- and large-scale farmers. Thai consumers also gained because the government maintained a smooth flow of rice in the domestic market at the prices prevailing at the end of the previous government, despite higher paddy price. The study also finds that there was corruption in the government rice sale as it sold rice to a few connected traders at the prices below the market prices. That explained why the fiscal loss is estimated at 595 billion baht to 885 billion baht, depending on the time it will take to dispose 18 million tons of rice in the government stock. The policy also creates other social costs. Thus the social costs exceeded its benefits.

Keywords: social costs, fiscal loss, government-to-government sales, rice export, benefits, economic rent

Introduction

Like other countries, Thai agricultural price intervention has changed from a regime that penalized the farmers to one that provides farm subsidy in the late 1980s, the sugar industry being an exception (Ammar and Suthad 1987). Before

1986, rice export in particular was heavily taxed at the border. In addition to this direct imposition, the rice sector was hurt by the tariff protection in favor of the manufacturing sector and the resulting over-valuation of baht. One consequence is the large net resources transfer from the agricultural sector (Ammar and Suthad, 1987). Thanks to

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the depression of world agricultural prices, the rice premium was abolished in 1986, resulting in a more neutral trade policy (Warr and Achanun 2007). There was also a major political change after 1986 when Thailand began to have elected prime ministers, except for two short periods of military governments and a recent military coup on May 22, 2014. Since then, the elected governments had begun to increase farm subsidy in order to secure more votes from the farmers who account for almost 40% of the workforce.³

A major instrument used to subsidize farmers was by a so-called “paddy pledging”. This instrument was introduced in the 1981/82 crop year, originally to provide short-term liquidity to enable the farmers to delay the selling of their paddy during the harvesting period. Its Thai name, “*Jam Nam Khao*,” literally means “paddy pawning”. The farmers pledged their paddy as a collateral against a subsidized non-recourse loan⁴ from the state owned Bank for Agriculture and Agriculture Cooperative (BAAC). Since the loan was 80-90% of the market value of farmers’ collateral, only a small amount of paddy was pledged, e.g., 0.001%-19% of production (Nipon 2010).

³ There is a serious problem of counting the number of farmers as many of them hold multiple occupations. Using the full-time definition of 40 hours per week in the Labor Force Survey, agricultural workforce is estimated at 27% of total employment in 2010.

⁴ A non-recourse loan is a loan that is secured by a pledge of collateral, but for which the borrower is not personally liable. If the borrower defaults, the lender can seize the collateral, and the lender’s recovery is limited to the collateral (Wikipedia)

⁵ Between the 2004/05 and 2005/07, the pledging prices of non-glutinous paddy were 4.6%-5.2% higher than the market prices, while the pledging prices of jasmine paddy were 33.7%-35% higher. But there was a ceiling on the amount of pledged paddy for each farmer. The pledging price of jasmine variety declined to 6.4% in 2006/07.

In 2001/02, the Thaksin Shinawatra government, which won a landslide election based on a populist policy platform, raised the pledging price of paddy to 100% of the market price, and then further to 110% - 135% in 2004/05 and 2006/07⁵. Since then the instrument was used to support the price for farmers at levels substantially above market levels, yet its misleading name “*Jam Nam Khao*” has been retained. As a result, the volume of pledged paddy jumped to 38% of paddy production in 2004/05. This policy was pursued every time Thaksin’s party (under various names) came to power, notably when it won the election in 2011, it dramatically increased the paddy pledging price to 15,000 baht per ton for ordinary (non-fragrant, non-glutinous) white rice, which was about 150% of the market price at that time. Furthermore, the government told the farmers it would stand ready to buy every grain of rice from the farmers. Although the pledging scheme allowed farmers to redeem their paddy within four months, none did so. Therefore, the government, in fact, became the largest rice buyer at this inflated price.

The new objectives of the policy were very ambitious, i.e., to increase the farmers’ income, to stimulate the economy, to regulate the supply of rice and maintain (retail) price stability, and, by cornering the world rice market, to increase the export prices of Thai rice (National Rice Policy Committee 2012).

This paper will assess the performance of the policy with respect to its objectives, except the simulation of the economy, which has to be done using the macroeconomic model. After describing the size and operation of the scheme it tracks the flow of paddy as it left the farm, was pledged to the government, milled into rice and then exported, sold to the domestic consumers or put into storage (Sections 1 to 3). In de-

scribing the flow, it will become apparent that despite the government's claim that it would "buy every grain of rice", the market was not completely replaced, but millers, traders, and exporters continued to operate in something that looked like a market, albeit with a much reduced volume, and the degree of competition is much reduced, with the government exerting its dominant market power. The assessment in Sections 4 to 6 will address four questions: (1) Who benefits from the scheme? (2) Who are the losers? (3) What are the costs – fiscal and social as well as the less tangible ones – of the program? And (4) What are the lessons from the policy failure and execution mistakes of the paddy pledging policy?

Procuring the paddy

The paddy pledging scheme in the Yingluck government began in October 2011 and ended in February 2014 when it ran out of funds and was constitutionally prohibited from raising any more after the government dissolved the parliament on December 22, 2013⁶. In each cropping year, the government purchased two crops, i.e., the wet season crop between October and February⁷ and the dry season crop between March and September. Altogether 54.33 million tons of paddy from five crop seasons or 53.4% of total production were purchased. Details of the government purchase by crop season are given in Figure 1.1. It should be noted that farmers sold a higher share of their dry season crop⁸ to the government than that of the wet season crop because the latter crop is normally kept for domestic consumption, including the amount kept by farmers for their own consumption.

Under the paddy pledging scheme, the government did not only buy paddy from farmers at higher prices, but also paid for the processing, storage and transport. Its

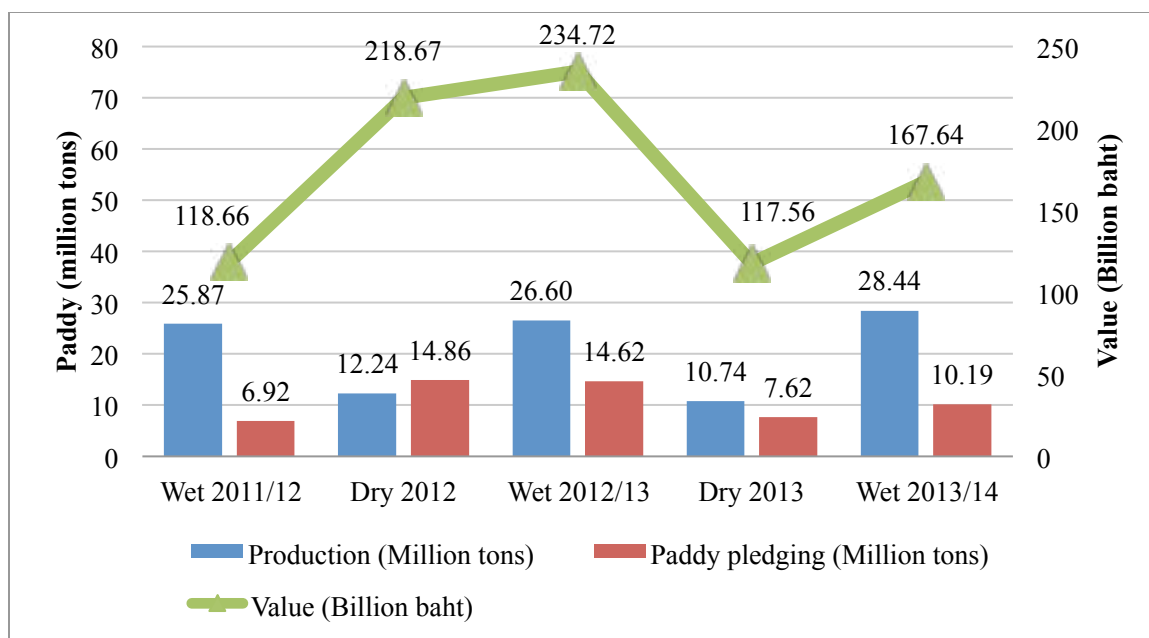
operating procedures can be briefly summarized as follows. Farmers who wanted to participate in each crop season had to register with the Department of Agricultural Extension. Until the third crop season, there was no limit on the amount of registered land, thus no limit on the amount of pledged paddy by each farmer.⁹ After the harvest, the registered farmer, who wanted to sell rice to the government, had to deliver their crop to the registered rice mills in exchange for a warehouse receipt issued by the Public Warehouse Organization (PWO) or the Marketing Organization for Farmers (MOF), who posted their employees at the mill to receive and inspect the rice, assisted by employees of surveying firms. The farm-

⁶ It was legally ended after the military coup on 22nd May 2014.

⁷ Farmers in the South can sell their paddy to the government until July 2014 because they harvest their main crop between April and July.

⁸ In the dry season of 2012, about 120 % of production was sold to the government. This is because when the paddy pledging project began in October 2011, a big flood between August and December 2011 seriously affected the wet season crop. Many farmers had to replant rice after the flood receded and harvested between February and May 2014. The government, therefore, allowed those affected farmers to sell their crop in the dry season project.

⁹ In fact, the government felt a need to reduce the size of the project in the mid-2012. On June 18, 2012, the National Rice Policy Committee considered reducing the pledging price from 15,000 baht per ton to 12,000 baht and limited the amount of sale by each farmer to 350,000 baht, citing the need to maintain fiscal discipline and to balance the government budget by 2017 (Post Today web site, June 18, 2012) as well as the changing world rice price due to the increase in global rice supply (Bangkok Post June 19, 2012). But a week later, the price was raised back to 15,000 baht after a farmer protest, and each farmer was allowed to sell up to 500,000 baht. In the fifth project which started in October 2013, the government imposed a limit of paddy purchase for each farmer to 350,000 baht (Bangkok Biz News, July 28, 2012).

Figure 1.1: Quantity and value of pledged paddy in five seasons

Source: BAAC and department of Agricultural Economics.

Table 1.1 Rice production, pledged paddy, number of participating farmers and costs of the paddy pledging policy

	Wet 2011/12	Dry 2012	Wet 2012/13	Dry 2013	Wet 2013/14	5 Season s
Rice production (Million tons)	25.87	12.25	20.6	10.74	28.44	97.9
Pledged paddy (Million tons)	6.92	14.86	14.62	7.62	10.19	54.22
- % of production	26.75	121.31	70.97	70.95	35.83	55.38
Pledged milled rice (Million tons)*	4.43	9.67	9.42	4.96	6.58	35.07
Number of participating farmers	1,189,101	1,021,027	1,438,837	613,697	1,353,397	
Costs breakdown (Billion baht)						
1. Cost of paddy	118.66	218.67	234.72	117.56	167.64	857.25
2. Interest on debt outstanding	8.28	12.16	11.19	3.47	2.04	37.15
3. Operating Cost	10.1	20.3	20.39	9.82	12.7	73.32
- Milling fee, bag cost, transportation cost	5.89	12.73	12.47	6.53	8.7	46.33
- Inspection fee	0.06	0.13	0.13	0.07	0.09	0.48
- Warehouse rent, storage cost	1.75	3.54	3.5	1.03	0.71	10.54
- Operation cost of government agencies	2.4	3.9	4.29	2.19	3.2	15.97
4. Impairment due quality deterioration	3.6	6.49	5.06	1.25	0.03	16.42
5. Total cost	140.64	257.62	271.36	132.09	182.42	984.14
6. Value of stock at May 2014 price	2.09	23.06	60.47	17.75	57.02	160.39

Note: *Milled rice = amount of pledged paddy*milling ratio.

Source: Estimated from BAAC and Department of Internal Trade

ers then brought the warehouse receipt to cash the money from the Bank for Agriculture and Agricultural Cooperatives (BAAC), which has been commissioned by the government to finance and handle the payment. The price was set for the standard paddy with 15% of moisture and for five varieties of paddy, i.e., 15,000 baht per ton for 100% non-glutinous paddy, 20,000 baht for jasmine variety, 18,000 baht for provincial jasmine, 16,000 baht for Pathum variety, and 16,000 baht for glutinous paddy. Regardless of how many crops each farmer might grow in a year, he or she could bring the rice for pledging no more than twice.

The rice millers¹⁰ were then hired to mill the paddy within seven days of the receipt of paddy (later extended to a more flexible period). The milled rice was to be delivered to the designated warehouses¹¹ rented by the government. The government also hired the surveyors¹² to inspect the type and the amount of rice that were delivered to the warehouses.

In addition to the financing by the BAAC, the government also borrowed from other specialized financial institutions (SFIs) to supplement BAAC's resources.

Altogether, as of June 10, 2014, the government disbursed 857.25 billion baht to

buy paddy in the five crop seasons (Figure 1.1). This entire amount was off-budget and thus did not require parliamentary approval under the budgetary procedures law. The government also bore the operating costs (including milling) of the scheme which totaled 73.32 billion baht. (Table 1.1). These were paid partly by the expedience of paying the mills in rice for the milling and transport and for the bags, and the rest (the warehouse rental fee, the fee for surveyor services, fumigation fees, direct expenses and overhead expenses by government agencies, and interest costs) is paid out of the fiscal budget (the only items to appear in the parliament-approved budgets). Other costs included the interest cost on government loan to buy paddy from farmers, and impairment value of rice in the government stock. Total costs for 5 seasons, thus, amounted to 984 billion baht.

The government planned to borrow only 500 billion baht in the first two years, with the rest coming from future rice sale revenue. But this revenue fell well short of the target. By the third quarter of 2013, the actual borrowings had exceeded the maximum loan of 500 billion baht, thus forcing the government to ask the BAAC to provide additional cash advance to pay the farmers. The total outstanding of this cash advance was 94.85 billion baht on June 10, 2014, the most it could provide out of its own resources without endangering its own liquidity. But this was insufficient, and the BAAC had to defer payments for the paddy the farmers had already delivered and by the second quarter of 2014, the backlog in payments was as long as six months.

After the parliamentary dissolution, the government still owed 118.3 billion baht to 1.387 million farmers on February 5, 2014. Since an interim government was prohibited by the constitution to create any debt burden for the next government, it had

¹⁰ There are 954 eligible millers in the project (Sub-committee on Supervision of the Paddy Pledging Scheme 2012), comparing to 2,600 millers nationwide.

¹¹ There are 1,685 private warehouses (granaries) that are rented by the government for the 2011/12 crop (DIT, PWO and FMO, June 2013), the 2012 crop and the 2012/13 crop. Some of these granaries belong to the rice millers in the rice pledging scheme.

¹² There are 20 rice surveyors who are contracted by the PWO and the FMO, most of them are newly established and small scale firms. The large-scale surveyor companies, such as SGS and OMIC, chose not to participate in the project. Note that there are 1,018 surveyor companies—34 of which engage in rice inspection and employ 479 surveyors—that are registered with the Department of Foreign Trade.

to put the rice stockpile on fire sale and managed to raise only 27.3 billion baht between January and June 2014 (BAAC Report on Revenue from Rice Sale on June 12, 2014). However after the coup on May 22, 2014, the military junta used its absolute power to borrow 90 billion baht from the money market to pay the farmers.

Disposing of the Rice: the Fiction of Government-to-Government (G-to-G) sales

The paddy pledging policy was to date the largest intervention by the government in the rice market, the government was not only the largest paddy buyer, but had become the largest rice seller in Thailand. The reason for the government to do this is best captured by the following answer to a question by Forbes on October 30, 2012 to the former prime minister, Mr. Thaksin, the designer of this program:

“Q. Let’s talk about your sister (Ms Yingluck Shinawatra, the Prime Minister). She has been in power for more than a year...She has surprised some people but has had a problem with rice price supports.

A. Actually it’s not a problem, it’s a jealousy from political side. They are afraid that we will have more power from the grass roots level. Because the farmers were very happy; they can pay off their loan. They are happy. Another group that has problem with us is the exporters. In the old days their life was so easy. The government would buy from the farmers and sell cheaply to exporters, and they would sell to international market cheaply as well. We are the number 1 rice exporter in the world. Why would we have to sell

our rice cheaply at the expenses of the farmers? This government argues that if we got our farmer to survive, they have to have enough to eat. If they lost, they will leave farms and do something else. It’s like, you wanted to promote medicine doctors, but when they graduated, you give them the salary too low, how can you keep them in the job? How can you keep that job? If we decided that we wanted to be number 1 rice exporter, we should let them survive, that’s the philosophy. But for the exporters, you need to work harder. Don’t take life so easy and enjoy your wealth at the expense and hardship of our farmers. So you have to work harder. You have to do more marketing, you have to compete with others¹³... And the whole world will come to buy rice from Thailand, about 7 to 10 million tonnes. So we have the products and in the beginning everyone wanted us to sell. We can’t do it because India dumped their [stock] out cheaply. At that time only 400 USD per ton. But now the rice price went up to 600 USD per ton–50 percent increase.”

<http://www.forbes.com/sites/timferguson/2012/10/30/qa-thaksin-sits-down-with-forbes/2/>

This raises two important issues, i.e., what is the impact of paddy pledging policy on rice export and, in particular, what is the

¹³ As one of the most successful businessmen in Thailand, it is difficult to believe that Mr. Thaksin does not understand the role of rice exporters. Thai rice exporters always hold a short position, i.e., they do not carry large amount of stock, and will buy rice only if they have order. They make profit (or loss) from speculation, which requires intensive investment in timely information gathering activities and establishing effective network of intelligence as well as connections. One small miscalculation can result in massive loss.

performance of government to government (G-to-G) rice sale, since G-to-G sale is the instrument to be used to raise the international price of rice?

As is clear from the interview above, the government did not only use the paddy pledging policy to raise farm prices, but it also thought that by withholding large amount of the supply of rice from the world market, it could significantly increase the export prices of Thai rice. Its logic is that as the world largest rice exporter controlling at least 30 % of world market share, Thailand has monopolistic power. Moreover, although Thai rice is of superior quality relative to that of the competitors, the government argued that Thai rice prices had been under-valued. In fact, at the beginning of the intervention in October 2011, the first Minister of Commerce in the Yingluck government, Mr. Kittiratt NaRanong, boasted that the policy would enable Thailand to export rice at the price of “cost plus”, which equaled the cost of purchasing paddy at 15,000 baht a ton plus the operation expenses, or about \$850 per ton¹⁴ (Kom Chad Luek Online, 2011), compared to the FOB price of \$595 for the 5 % Thai white rice in October 2011 (quotes from Riceonline.com).

After six months of the implementation of the paddy pledging scheme, Thailand's rice export went down substantially and was surpassed by Vietnam's rice exports. In response, Mr. Yanyong Puangrat who was at the time the permanent secretary of the Ministry of Commerce argued that “Thailand must play the waiting game until India and Vietnam had exhausted their rice stocks; after which, Thailand would be able to sell its rice at higher prices” (ASTV Poochudkarn Raiwan, 2012). Prior to Yanyong's remark, the Director of the Department of Foreign Trade had given a similar comment (Than Setthakij, 2011). One gov-

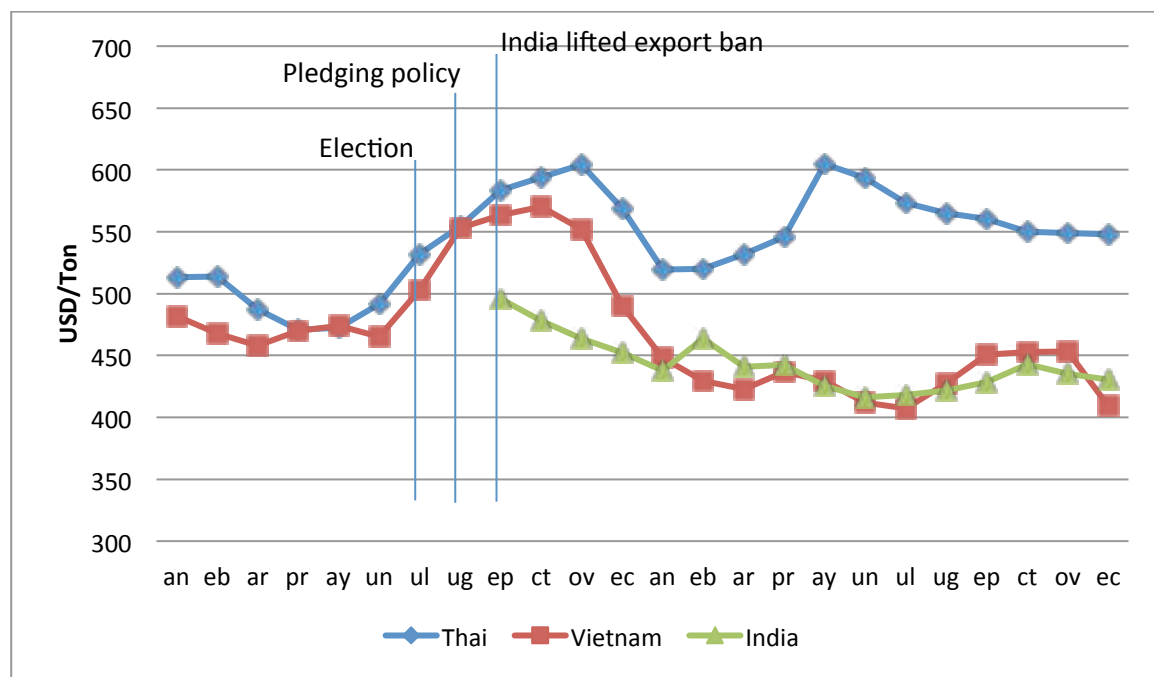
ernment economic advisor also argued that “the government rice reserve is the strategic reserve that will be needed when there is global food shortage, caused by global warming – in the next two years” (Thai PBS, *Tob Jote* (Answering Questions) October 10, 2012). All of these turned out to be wishful thinking.¹⁵

On September 7, 2011, the Indian government decided to lift its rice export ban instituted in 2008 (<http://oryza.com/content/thai-rice-sellers-keep-prices-unchanged-while-viet-rice-sellers-lower-prices-india-hearing>) after a few years of bumper crops and the government did not have adequate warehouse space for its stockpile. Almost immediately, Vietnam decided to lower its export prices to compete with Indian rice. In some periods, the export price of Vietnam white rice was even lower than that of India (Figure 2.1). Although the fob prices of Thai white rice remained very high, averaging USD\$550 between October 2011 and October 2012¹⁶, the Vietnamese price was only \$456 and that of India was \$441 (average from Riceonline.com from October 2011 to October 2012). So the average world price of rice actually declined in 2012, con-

¹⁴ $\$850 = ((15,000/0.61)+1,000)/30.1$. The conversion ratio of paddy into milled rice is 61%, direct operation expense is 1,000 baht per ton and one US dollar is about 30.1 baht in the late 2011.

¹⁵ The arguments show that the politicians, and surprisingly the government's economic advisors are ignorant of the structure and conduct of the world rice market. First, though the world rice market is imperfect and the prices are highly volatile, the major sources of imperfection are the consequences of governments' intervention and information problems. Exporters' profits are return to information rent and speculation. The market is now quite competitive and Thailand no longer enjoyed the monopolistic power that it used to have in the past. Secondly, rice is not like oil which can be kept underground without interest cost. Rice is also not like aging wine.

¹⁶ The higher fob price of Thai rice reflects the limited supply of rice in the private rice market, not the world demand.

Figure 2.1: Export prices of 5 % white rice of Thailand, India and Vietnam (USD per ton)

Source: Riceonline.com

trary to the Thai government's expectation. The FAO Rice Price Index shows that the index for high quality Indica rice dropped from 237 in 2011 to 230 in 2012, and that the index for aromatic rice even declined by higher percentage points (3.2%).¹⁷ Meanwhile, the major rice importing countries—Indonesia and Philippines—have aggressively ramped up their own production to ensure self-sufficient supply.

Given the higher export prices of Thai rice relative to those of Vietnam and India, it is not surprising that Thai rice export suffered a sharp decline from its record of 10.67 million tons in 2011 to 6.95 million tons in 2012, and 6.97 million tons in 2013. India became the world largest rice exporter with total shipment of 8.6 million tons in 2012, followed by Vietnam with 8.2 million tons of export. Thailand dropped to third place for the first time in more than three decades. The unsold rice ended up as an increase in government stockpile.

Among three major types of Thai rice, Thailand suffered most from a 57.7% decline in parboiled rice export between 2011 and 2013, i.e., dropping from 3.43 million tons in 2011 to 2.18 million tons in 2012 and 1.45 million tons in 2013.¹⁸ The export of white rice also dropped sharply from 4.6 million tons in 2011 to 2.62 mil-

lion tons in 2012, and 2.41 million tons in 2013. Despite the fact that Thai jasmine rice has always been very popular among importing countries, the export of jasmine rice declined by as much as 43%, i.e., from 2.318 million tons in 2011 to 1.32 million tons in 2013. In addition to the exorbitant prices, Thai private exporters ran short of supply of jasmine rice. As a consequence, export revenue from rice fell from USD 6,389 million in 2011 to USD 4,764 million in 2012 and USD 4,555 million in 2013. These are evidence that the export demand for Thai rice is highly price elastic, thanks to alternative sources of cheaper rice from Thailand's competitors, particularly India and Vietnam. A recent econometric study confirms that Thailand does not have any monopolistic power in all types of rice exports as perceived by the government (Ithipong 2014).

The sharp fall in Thai rice export also proves that Mr. Thaksin's argument that the Thai exporters have an easy way of doing business, was certainly wrong. The fact that Thailand was able to export 8-10 million tons of rice per year has been the competitive and combined efforts of more than one hundred private exporters, large as well as small. They managed to sell 30 types of rice to 202 countries / territories in all continents as shown by the information on types and destinations of Thai rice export in the web site of the Thai Rice Exporters Association (www.thairiceexporters.or.th). It is true that Thai export prices have to be competitive with their competitors. However, the FAO information shows that the fob prices of Thai 100%-B white rice had always been higher than that of Vietnam by USD 20-70 per ton during 2008-2011 period. The higher price of Thai rice reflects its better quality (Goletti, Minot and Berry 2006), more efficient logistics of the rice supply chain, and capacity of Thai export-

¹⁷ This is why one major rice exporting firm, which strongly supported the rice pledging policy and speculated by buying large quantity of rice before the pledging scheme began in October 2011, took a big loss.

¹⁸ The sharp decline in export of parboiled rice is because under the paddy pledging policy, there was no regulation that allowed the millers to steam the paddy and, thus, produce the parboiled rice. All paddies had to be milled and the milled rice had to be delivered to the warehouses in 7 days. And yet surprisingly Thailand was able to export as many as 2.18 million tons of parboiled rice in 2012, despite the fact that 100 % of all the dry-season paddy were sold to the government (see explanation by Poapongsakorn, et. al. 2015).

ers to serve the needs and requirements of their customers. But when the government intervened in the export business, it failed badly. Some of the rice exports of a politically connected company who was granted the right to be the sole exporter of G-to-G rice to Indonesia¹⁹ and Iraq were rejected because of quality problems and the accuracy of certain exporter's shipment weights (Dejkitvikrom 2014; Prachachart Thurakij, 2013; Prachachart Thurakij Online, 2013; Bangkok Post, 2014). As a result, Thai rice exports to Indonesia and Iraq have declined significantly. Shipments to Indonesia dropped from 342,919 tons in 2012 to 87,237 tons in 2013, while export to Iraq in 2013 also decreased by 24.45 % from the previous year (www.thairiceexporters.or.th).

The decline in rice export had generated increasing pressure on the Ministry of Commerce (MOC) which is responsible for rice export and sale of government rice. In particular, the MOC was pressured by the Ministry of Finance (MOF) to sell enough rice so that the government had adequate financial resources to buy paddy from the new crops. This is because the Ministry of Finance had imposed a borrowing limit of 500 billion baht to purchase paddy in 2011/12 and 2012/13 cropping years and the rest had to come from rice sale.²⁰ The liquidity problem first emerged during the 2012 dry season pledging project when the amount of pledged paddy exceeded the planned target.²¹ This raised the question: how did government sell from its rice stock?

According to the National Rice Policy Committee (NRPC), the government had five channels to sell the rice,²² i.e., Government-to Government (G-to-G) sale, open bids, sale to agencies and organizations both in the country and foreign countries for public interest, sale through

the futures market, and food aid for disaster victims (Ministry of Commerce 2012). Before the dissolution of the parliament in December 2013, the government had never used the Futures Market as a marketing channel, and only a few open bids were carried out. Most of the rice sale are carried out in secret.

The following will focus on the G-to-G sale because the Minister of Commerce claimed that the government already signed six G-to-G sale contracts amounted to as much as 7.328 million tons in late 2012²³ (Prachachart Thurakij, 2012).

¹⁹ In April 2014, the National Anti-corruption Commission decided to investigate a corruption charge involving the Ministry of Commerce decision's to hire Siam Indica to improve and ship 300,000 tons of rice to Indonesia (www.isranews.org, April 7, 2014).

²⁰ On September 18, 2012, the Minister of Finance sent a memoire informing the cabinet that the paddy pledging scheme used more money than the allocated budget (financed by loan). He also suggested the MOC to speed up the rice sale and asked the cabinet to approve his proposal that the financial account closing had to be finished three months after the end of each pledging project.

²¹ Total amount of pledged paddy in the 2012 dry season crop (14.86 million tons) exceeded the predicted production of 12.235 million tons, raising a question of where the rice came from. In the 2012/13 wet season, the farmers sold as much as 14.7 million tons to the project, comparing to only 6.92 million tons in the 2011/12 season.

²² In addition, the DFT also announced in its web site that any rice traders who wished to buy government rice could submit their purchase proposal with the appropriate offer price. Between October 2011 and September 2013, total amount of sale through this channel was 3.27 million tons (DFT website). According to rice traders, only a few connected traders were able to buy rice under this channel.

²³ The Minister's statements were very confusing, if not a lie. In a press conference with the Prime Minister on October 9, 2012, he insisted that the G-to-G agreements with six governments were "sale contract", not memorandum of understanding. But the official agreements show that they were MOU. He also insisted there were actual G-to-G sale.

Critics, especially the members of Thai Rice Exporters Association questioned whether the deals existed and had called for evidence.²⁴ In response, the minister called a press conference and made the following clarifications on October 11, 2012 (Bangkok Post, 2012b). First, he admitted that the actual G-to-G export was only 1.46 million tons by the end of September 2012, and he expected an additional 0.3 million tons of export by year end. The remaining 5.56 million tons were to be exported by the end of 2013. Secondly, on a Spring News TV Show entitled “Inside Thailand” (video clip posted on 9 October 2012) and Bangkok Post 12 October 2012, Mr. Boonsong made a further clarification of his previous press interviews in defense against the exporters’ rebuttal that the trade statistics in 2012 did not show any G-to-G exports (more discussion below). According to him, “the buyers (*foreign governments*) have to hire (*Thai*) private companies to check the quality of the rice and ship it out. That is why the export figure of 1.46 million tonnes shown up as being done by the private sector.” In effect, the minister still insisted that there was actually G-to-G exports of 1.46 million tons by September 2012.²⁵ Thirdly, he still reiterated his stance that “details of the G-to-G rice deals could not be disclosed as it could affect foreign relations...the import of rice is a politically sensitive topic in many countries” (Bangkok Post, 2012).

After presenting the evidence on G-to-G exports to the countries that are named by the minister, the issue of confidential information on export will be discussed. The motive of keeping “all” trade transactions confidential will become clear in the next part.

Did the government actually export of 1.76 million tons as a G-to-G trade in 2012 to the six countries (Indonesia, China, Ivory Coast, and the Philippines, Guinea

and Bangladesh) as claimed by the Minister of Commerce? (Kom Chat Leuk, 2012; Post Today, 2012; Bangkok Post, 2012a).

Between September 2011 and December 2012,²⁶ there was no record of G-to-G sale in the TREA web site, operated by the Thai Rice Exporters Association. However, the trade statistics from the Department of Customs showed that there were very small “G-to-G exports” of 29,850 tons to three countries in 2011, and only 212 tons to China in 2012. But there were no G-to-G exports between January and February 2013 in both sources of information.

²⁴ An honorary president of the Association of Thai Rice Exporters told the media that, “if there are going to be exports as claimed, there should be preparation of sacks and other related materials in advance, but things have been quiet in the market....Countries such as Indonesia and the Philippines, which the government claims have made purchases, have also denied any deals, saying that they have not imported any ‘Thai rice’ (The Nation, October 4, 2013); and “I believe that the government gave false information...” (Bangkok Post, October 12, 2013).

²⁵ In a parliament censure on November 25-27, 2012, an MP from the Democrat Party revealed some transaction evidences to dispute that the rice sale was not G-to-G. It should be noted that, according to a former director general of the DFT, the G-to-G sale, which is handled by the DFT, may be managed by the private sector, but the payment must be made directly by the foreign governments. Thailand no longer enjoyed the monopolistic power that it used to have in the past. Secondly, rice is not like oil which can be kept underground without interest cost. Rice is also not like aging wine.

²⁶ The information on government rice export has become confidential after the DFT first informed the TCC in the early December 2012 that it would take back the authority of approving rice export and standards certification. Since May 1, 2013, the DFT has begun to authorize rice exports of white rice. But TCC still handles the authorization of exports of par-boiled and glutinous rice. Therefore, the exports of companies that are not members of ATRX also become confidential (more discussion below).

Table 3.1: G to G Export and Rice Export to Countries which have MOUs with Thai government⁽¹⁾

	2010	2011 ⁽²⁾		2012 ⁽³⁾	2013
	(Jan-Dec)	(Jan-Aug)	(Jan-Dec)	(Jan-Dec)	(Jan-Mar)
G-to-G TREA Customs Department	0 9.79	267.87 ⁽⁴⁾ n.a.	267.84 29.85 ⁽⁵⁾	None 0.212 ⁽⁶⁾	None None
Total export to 6 countries ⁽⁷⁾ TREA Customs Department	1,840.53 1,841.84	2,212.66 2,219.92	2,703.70 2,745.03	886.76 ⁽⁸⁾ 882.64 ⁽⁸⁾	138.82 758.21

- Note (1) Six countries that have MOUs with Thailand are Bangladesh, China, Ivory Coast, Guinea, Indonesia and Philippines
- (2) The Yingluck government assumed office on 23 August 2011. The paddy pledging scheme started on 7 October 2011. There was no report of G-to-G sale in the second half of 2011 in the TREA web site.
- (3) In December 2011 the DFT informed the Thai Chamber of Commerce that it would take back the authority to approve the export of white rice. The DFT has begun to approve the rice export since 1 May 2012 (more details in text)
- (4) G-to-G sale to Bangladesh (220 thousand tons) and Indonesia (50 thousand tons)
- (5) G-to-G to China (0.107thousand tons), Pakistan (20 thousand tons) and Haiti (9.74 thousand tons)
- (6) G-to-G to China of which 169.5 tons are jasmine rice and 42.96 tons are Pathum thani aromatic rice
- (7) Total export by both private exporters and government
- (8) Indonesia 0.338 mt, of which 0.28 mt are G-to-G delivered by Siam Indica in January-February 2012. The Indonesian-Thai MOU was signed by the Apisith government in 2011. Ivory Coast 0.357 mt, of which 0.24 mt is confirmed by the Minister of Commerce (Thai Rath Online 15 October 2012). The differences are thus exported by the Thai private exporters.
- Source : (1) Web site of the Thai Rice Exporters Association (TREA)
- (2) Department of Customs

Since the Minister insisted that the G-to-G exports were handled by the private firms, the 1.76 million tons of export must be shown in the trade statistics reported by the Department of Customs. Table 3.1 shows that in 2012, there were only 0.883 million tons of rice exports to the six countries named as importers of G-to-G rice. Exports to Indonesia and Ivory Coast exceeded the G-to-G sales which were reported by the Minister of Commerce. Out of the 0.338 million tons of export to Indonesia, 0.28 million tons was the actual G-to-G export handled by Siam Indica Company in January-February 2012 (ORIZA.com). Export to Ivory Coast was 0.357 million tons, 0.24 million tons of which was the G-to-G transaction (Thai Rath Online, October 15, 2012). Since

there was no evidence of G-to-G sale to China, the actual G-to-G sale to six governments must be at most 0.532-0.708 million tons in 2012, far below the Minister's figure of 1.76 million tons. Total rice export to six countries in 2013 were 0.808 million tons (www.thairiceexporters.or.th) compared to the Minister's figure of 5.56 million tons.²⁷

In response to the critics who used the publicly available statistics on rice export to criticize the G-to-G deals, the Department of Foreign Trade (DFT) reacted by making the information on G-to-G sale confidential. Up until May 2013, the Board

²⁷ Interestingly, the new Minister of Commerce who replaced Mr. Boonsong in mid2013, also claimed that Thailand's G-to-G export would be about 6-7 million tons per year (The Nation October 21, 2013b).

of Trade of Thailand (BOTT) had been authorized by the DFT to issue the rice export licenses and standards certification to exporters of white rice and parboiled rice.²⁸ The Association of Thai Rice Exporters was thus able to obtain the detailed information on every lot of export (including the names of exporters, destination, fob prices, etc.) from the BOTT. The ATRX compiles and publishes the rice export on its website. The information also contained the G-to-G exports. But in December 2012, the DFT informed the Thai COC that it wished to take back the authority to grant rice export permit from the COC. Since May 1st, 2013, all rice exports and standards certification (except parboiled and glutinous rice) have to be approved by the DFT. Yet the DFT still gives the export information of the ATRX member exporters to ATRX, but not that of other exporters who are not ATRX members. Thereafter the information on Thai government rice export to foreign governments either directly or through the private exporters (who are not members of the ATRX) became confidential.

Disposing of the Rice: Selling to the Domestic Market

If the actual G-to-G exports were much smaller than the government's claim, why did the government have to lie about G-to-G sale? I believe that there is evidence to show that the G-to-G claim is an excuse to sell rice to the domestic traders and exporters without having to disclose the selling price.

A former member of the parliament from the opposition party, MP Warong De-jkitvikrom (2014) was the first one who disclosed in the parliament censure session on November 27, 2012 (www.youtube.com/watch?v=QylyWsT-6y4) that the G-to-G contracts were in fact contracts to sell rice to local agents who used a company registered

in China as a front. The company in China sold office and home furniture and sport equipment and did not have a rice trading license in Thailand as required by law. Moreover, the persons who were authorized to carry out the company's business are Thai nationals who have connection with the politicians from the government. The MP had successfully gathered extensive evidence on the financial transactions of a company that had a G-to-G contract with the MOC and found that both the money and rice transactions were carried out within Thailand, no actual export from Thailand to China. The main reason that the government had to claim that there were real G-to-G contracts is that it gave the government an excuse not to disclose any details of the contracts, particularly the low selling prices and the amount of sale.

In November 2013, the National Anti-Corruption Commission decided to file a corruption charge against the Minister of Commerce, the Deputy Minister of Commerce and 15 other people on the ground that most of the G-to-G deals were not genuine. Then in early 2014 the NACC also filed a charge against Prime Minister Yingluck for being negligent of her duty. How much of the claimed G-to-G rice of 7.328 million tons were sold to Thai traders? Although the government had not disclosed information on "total" amount of rice sale, the DFT had reported some information on rice release, i.e., rice biddings (0.3 million tons), natural disaster donation to the Philippines (5,000 tons), (cheap) bagged rice (2.4 million tons) and rice sale under

²⁸ Rice exporters have to seek the export permits and standards certification for every lot of rice export from the DFT. In the past the DFT delegated the authority to approve the export of non-jasmine rice (e.g., white rice, glutinous rice and parboiled rice) to the Thai Chamber of Commerce, while the DFT only grants the export permits and standard certification of jasmine rice exports.

the price offer scheme (3.27 million tons). They totaled 5.975 million tons between October 2011 and September 2013. Using the rice balance sheet method (see estimates in appendix 1), I estimate that the government had to sell at least 12.32 million tons of rice between October 2011 and September 2013 so that total demand for rice (domestic demand plus seed needs plus actual exports in two years) is satisfied. The difference between my estimate and the quantity of sale disclosed by the DFT is 6.345 million tons, a number which is close to the claimed G-to-G sale of 7.328 million tons.

The government did not only want to increase the prices of paddy sold by the farmers and the export prices of rice (by cornering the world market), it also wanted to prevent domestic rice prices from rising by regulating the supply of rice in the domestic market. To achieve that, it could engage in open market sales, but to do so would undermine its attempt to lift the export price, as rice could leak from the domestic to the export market. In the event, it decided to sell the rice to selected private traders to market the rice to domestic consumers.

It is widely known among the rice traders that the government only sold rice to a few companies which had connection to political leaders. These connected companies in fact acted as “a broker” between the high ranking government officers and politicians, who were in a position to influence the sale of government rice, and the rice exporters/ wholesalers/millers who wanted to buy rice from the government. The brokers did not only make arrangements for the wholesalers/traders who wanted to buy rice for domestic sale. They also made arrangements for the rice exporters who wanted to buy rice from the government, including exporters who export parboiled rice. As mentioned above, Thai exporters were able to ship 3.63 million tons of parboiled rice between 2012

and 2013 despite the fact that almost all of the dry-season paddies were sold to the paddy pledging scheme and the scheme did not have any policy measures to produce parboiled rice, except a failed attempt by the MOC to match the rice millers with the parboiled rice exporters in 2013. These brokers were able to buy the government paddy at the price which was much lower than the market price, but sold it at the market (wholesale) price to the rice wholesalers or exporters.

From a report by the MOC to the Ministry of Finance on the revenues from the rice sales, I am able to estimate the average prices of rice sold by the government. They are 14,000 baht per ton for the 2011/12 wet season crop and 12,000 baht for the dry season crop. Since these prices are 2,000-7,000 baht lower than the wholesale prices in Bangkok, the sale allowed the politically connected brokers to enjoy the economic rent from such deals. MP Warong (2014) also obtained the evidence²⁹ indicating that the government sold rice to one politically connected rice miller at the price of 5,700 baht per ton. The miller, in turn, sold rice to another miller at the price of 12,000 baht, thus reaping the profit of 6,300 baht per ton. He estimates that the miller bought 0.35 million tons of rice from the government. Without the G-to-G claims, the government would not be able to conceal the transactions with its cronies.³⁰

²⁹ The evidence are the rice release order by the PWO, invoices and receipts.

³⁰ Interestingly, the government decided not to sell its rice in some biddings because it argued that the bid prices were too low. Between October 2011 and November 2013, there were five rice biddings. There was no bidder in the first bid, while the government refused to sell any rice in the third bid. In the fourth bid, it sold only 0.229 million tons out of the planned 0.753 million tons. The fifth bid managed to sell only 57,000 tons out of the planned 0.58 million tons. The reason is that the price offer was too low. Moreover, the bid winner in the fifth bid decided not to pick up 20,000 tons because they were of poor quality.

In the other channels of rice sale, the government also sold rice to the politically connected companies. Though the DFT announced that any rice traders, who wanted to buy the government rice, could tender their price offer, exporters and a rice packer told the participants in the TDRI brainstorming seminar on the paddy pledging policy in 2013 that only a few companies who publicly supported the policy were able to buy rice from the government. For example, an executive of CP Inter-trade told the media that the company bought two lots of rice from the government for export (The Nation, 2013a).

Another important sale channel is the (Cheap) Package Rice Policy, also known as Blue Flag rice and package rice sold in the government-supported Took Jai retail shops. A few millers and exporters who won the bid to be packers of package rice scheme were also politically connected. The objective of the package rice policy is to subsidize the poor consumers by selling package rice at the price of 70 baht per 5-kg bag. Total amount of rice sold under this policy was 2.5 million tons between October 2011 and September 2013. The government sold its rice to the PWO at the subsidized price of 7.625 baht per kg. The PWO, in turn, hired four large exporters and two rice millers to remix and pack the rice in the 5-kg bags at the fee of 22-26 baht per bag. The PWO also hired three distributors to deliver the package rice to the PWO-designated retailers across the countries retailers. The PWO used the sealed bids to select the packers and distributors.³¹ The retailers were supposed to buy the package rice at the price of 66.5 baht per 5-kg bag³² and sell them at 70 baht per bag.

There are three problems with this policy. First, the Senate Sub-committee on Agriculture and Cooperatives, which carried a series of hearings on the rice pledg-

ing scheme, found that only 5-10% of the bagged rice were delivered to the PWO-designated retailers (Bangkok Biz News, June 18, 2013). The rest were sold by the packers in the private market at the market price (15.25 baht per kg) which was 50% higher than the cost of rice that the packers had to pay the PWO (7.625 baht per kg). Many PWO-designated retailers also had to buy bagged rice from the packers at the price of 72.5 baht per 5-kg bag, instead of the 66.5 baht as determined by the PWO (Bangkok Biz News, July 18, 2013). The second problem is that two rice millers and one exporter, who won the bid to be the major package rice packers, were found to have a close relationship with a minister and political leader (Warong 2014). Three of the four large exporters were invited to participate in the package rice scheme to give an appearance of competition because they were contracted to handle small transaction for a short period.³³ Finally, three distributors were in fact the nominees of the packers because they received the money from the packers to pay for the cost of bagged rice to the PWO (Hearings of the Sub-committee on Agriculture and Cooperatives 2013; Warong 2014). According to the hearings of the Economic Development Commission of the House of Parliament, and the hearings of the Senate Sub-committee on Agriculture and Cooperative in 2013, the

³¹ Before September 2013, the packers who won the bid were hired to improve rice condition, pack and ship rice to the designated retailers in all 77 provinces.

³² In practice, the distributors had to pay PWO the cost of bagged rice at 66.5 baht per bag before they could obtain the bagged rice for distribution. They were responsible for collecting the money from the retailers.

³³ The three major packers won the bids to pack 1.35 million tons out of 1.45 million tons of all bagged rice contracts, while the three large exporters were awarded only 0.1 million tons of bagged rice.

distributors admitted that after they bought package rice from PWO, they immediately sold the rice back to the packers. They were in fact the nominees of the package rice packers.

After the scam was exposed by the Senate Sub-committee, the PWO terminated the contracts to improve and pack rice as well as the package rice distribution contracts in July 2013.³⁴ Then, PWO announced the new rounds of bidding to select the bagged rice distributors and packers in September and October 2013, respectively.

Despite all these mishaps, the government did succeed in maintaining a smooth flow of rice to domestic consumers at the prices prevailing at the end of the previous government despite the high paddy prices, at least during the first three cropping seasons (see Figure 4.2 and more discussion below).

Who benefits from the paddy pledging program?

The government's often-stated rationale for the paddy pledging policy is that it benefits the farmers—most of whom are believed to be poor—and enable them to accumulate enough savings that can be re-invested in the non-agricultural activities.³⁵

Among the 3.28-4.21 million rice farmer households, about 1.44 million of them pledged their paddy.³⁶ The data from the Bank for Agriculture and Agricultural Cooperatives (BAAC) reveals that the medium-and large-scale farmers benefit more from the scheme than the smallholders. Farmers who pledged less than 100,000 baht (or less than 7.1 tons) of paddy accounted for 42.96% of all the farmers in the 2012 dry season project, but their share of total value of pledged paddy was only 15.68 %. On the other hand, those whose sale is at

least 500,000 baht per sale (35.7 tons) sold as much as 13.26 % to the program, despite the fact that they represented only 3.48 % of all the farmers in the program (Table 4.1). The large scale farmers are those in the irrigated areas in the Lower Northern and Central provinces. They have not only large farm holdings³⁷ and higher land productivity but also are able to grow up to 5-6 crops in two years, thanks to availability of irrigated

³⁴ Interestingly, after the termination of the contract, the MOC senior officer reported that only 0.4-0.56 million tons of the total approved bagged rice of 2.5 million tons had been delivered to Took Jai shops (Than Setthakij, 26 June 2013).

³⁵ Whether or not poor farmers who receive more farm profit from the policy will be able invest in other non-agricultural activities cannot be predicted on a priori ground. First, there has been the on-going rural transformation without the paddy pledging policy. Most young rural population left agriculture for good between the mid 1980s and early 2000s (Ammar 2004). Moreover, the poor farm households have diversified their activities into non-agricultural jobs which have higher productivity than agricultural activities. Thus they have smaller share of farm income than the rich farm households (Nipon 2003). Thirdly, some farmers may decide to use most of their additional windfall gain for consumption, others especially the old farmers may increase their savings simply for their retirement. Finally, capital is not the only necessary conditions affecting their choices of occupation.

³⁶ In the first year, the number of participating farmers was 1.19 million in the wet season and 1.02 million in the dry season, then increased to 1.77 million in the wet season of 2012/13, and dropped to 0.77 million in the dry season of 2013. In the last project of the 2013/14 season, the number surged to 1.86 million farmers because farmers whose crop was larger than 350,000 baht – a ceiling that each farmer is allowed to sell to the government – split their households.

³⁷ Average farm holding for the rainfed rice was 2.4 hectares in 2012, comparing to 3.68 hectares for the irrigated rice farms. Benjawan Rerkasem (2013) reports that the average annual yield of one hectare of irrigated farm is 3-5 times that of a hectare year of the rain-fed farms because (a) the former has higher yield per hectare per crop, and (b) each ha of irrigated land can grow 2-3 crops a year.

water. While poor farmers, particularly those in the less fertile rain-fed land of the Northeast, grow only one crop a year and can participate in the pledging scheme once a year. Note that after the first year (2011/12), the government limited the amount of sale by each farmer to 500,000 baht in 2012/13 and 350,000 baht in 2013/14. Therefore, the benefit share of large scale farmers declined. Yet some of them split their farms to their relatives so that they could sell as much rice as before, as shown by the increasing number of registered farmers.

Aside from the above direct benefit, farmers who did not pledge their rice also benefited indirectly from the higher paddy price in the market,³⁸ thanks to the policy of “buying every grain of rice”. It is possible to estimate both the direct and indirect benefits by assuming that all farmers, including those who did not have marketable surplus to sell to the government, sell all of their paddy output at the pledging price of 15,000 baht per ton and then purchase rice for consumption. Since the government also has the implicit policy to subsidize the consumers by supplying enough amount of rice to stabilize the retail rice price, the assumptions are justified. Using the 2011 Socio-economic Survey, all households are classified into three groups according to their total household income, i.e., the 30% poorest, 40 % middle, and 30% richest. Then the number of rice farmer households in each income group are counted and their “total net benefit” from the pledging scheme is estimated from the difference between the rice production (valued at 15,000 baht per ton³⁹) and rice consumption (valued at the retail price). The result show that the poor farmers receive much smaller share of the net benefit from the paddy pledging program, i.e., the poorest farmers who account for 44 % of all farmers receive only 18.4% of

all the net benefits. The richest farmers who account for 14.9% of all farmers, receive 39 % of benefits (Figure 4.1).

Nevertheless, almost all farm households except those with zero marketed surplus benefited from the paddy pledging policy, making it one of the most successful populist policy to win the votes of the majority of farmers.

In addition to farmers, the policy also directly benefited the 954 private millers, 1,685 warehouse owners, 20 rice surveyors⁴⁰ and the connected rice traders who had the privilege to buy rice from the government at low price. This is because the government had neither milling and storage facilities nor trading capacity, and thus needed to contract out these activities to them, amply rewarding them for their services. As a result economic rent was generated, part of which was dissipated (more discussion in part 5 on fiscal loss and social costs of the paddy pledging policy). The economic rent to rice millers is estimated from the milling fee paid by the government and the fact that the regulated milling ratio (i.e., the amount of rice that millers have to deliver to the government) is lower than the industrial average. The surveyors' rent is service fee paid by the government and the extra charge that the surveyors imposed on the millers who need to deliver rice to the warehouses. Warehouse owners received rent from the rental fee paid by the government and extra charge that millers

³⁸ The weighted average of paddy prices in the free market increased from 9,727 baht per ton in a period of no market intervention (October 2010-September 2011) to 11,199 baht during the months of pledging scheme (October 2011 to December 2012).

³⁹ The weighted average of actual pledging prices of all rice varieties received by farmers was 15,481 baht per ton.

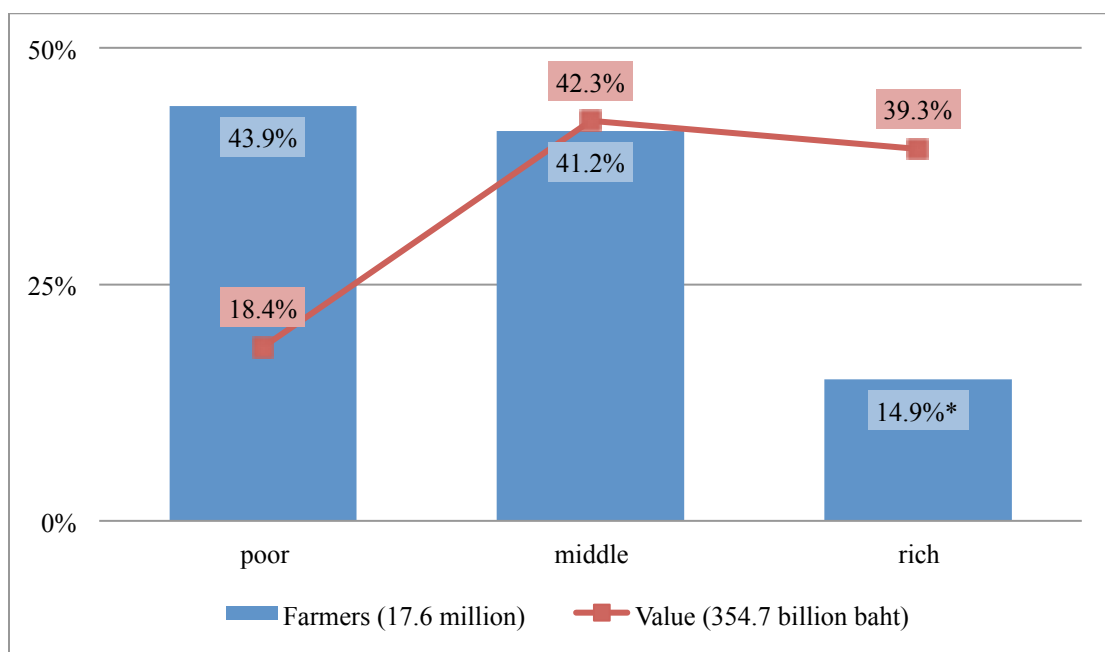
⁴⁰ There are about 2,600 commercial millers and 1,046 registered commodity surveyors.

Table 4.1 Distribution of benefits of the paddy pledging scheme by value of sale per farmer

Season		Small	Medium	Medium large	Large	Total
		(1 - 100,000 baht/ton)	(100,001-200,000 baht/ton)	(200,001-500,000 baht/ton)	(over 500,000 baht/ton)	
2011/12 wet season	% farmers	62.20	26.06	11.25	0.49	1.13 Mil. persons
	% value of rice	33.56	34.68	29.01	2.74	118.66 Bil.baht
2012 dry season	% farmer	42.96	28.84	24.73	3.48	1.41 Mil. persons
	% value of rice	15.68	25.50	45.56	13.26	218.67 Bil.baht
2012/13 wet season	% farmers	56.60	26.59	16.54	0.27*	1.78 Mil. persons
	% value of rice	26.92	31.09	40.57	1.42*	234.72 Bil.baht
2013 dry season	% farmers	46.11	29.51	24.27	0.11*	0.77 Mil. persons
	% value of rice	19.06	29.65	50.78	0.50*	117.56 Bil.baht
2013/14 wet season	% farmers	59.00	26.30	14.70	0.00*	1.67 Mil. persons
	% value of rice	30.62	33.92	35.46	0.00*	167.64 Bil.baht

Note: *In 2012/13, each farmer was allowed to sell up to 500,000 baht. The ceiling was reduced to 350,000 baht in 2013/14.

Source: BAAC as of July 2014.

Figure 4.1 Distribution of “total” benefits of the paddy pledging policy by household income class

Note: There are about 1.1 million rice farmer households in the top 30% income Thai households.

Source: Calculated by Ammar Siamwalla using the 2011 Socio-economic Survey by the National Statistical Office of Thailand.

had to pay if they want to deliver rice to the warehouse. Part of the rent received by millers, surveyors and warehouse owners go to government officials (Warong 2014). Note that our estimates are overestimated because the opportunity cost of the project participants is not deducted. But one may argue that their supply curve for the rice pledging market is constant as a result of limit on the number of participants in the policy.

Another group of gainers were the politically connected traders who had the privilege to buy rice from the government at below the market price. Therefore, their illegal gain, which should not be called “rent”, is the difference between the wholesale rice price and the government selling price. Since they have to share their gain with the politicians and government officials, the gain is in fact corruption money. We shall return to the issue of connected traders later.

Surprisingly, the consumers also benefited from the paddy pledging policy. Although the government successfully shore up the paddy prices, it did not want the retail rice price to go up with the paddy prices for political reason. As shown in Figure 4.2, the retail price in 2012-13 was marginally lower than that during the Abhisit government when there was no government intervention in the rice trade. Since the government controlled 50% of total rice production, the government must have unloaded adequate supplies of rice at the very low price into the market to maintain the domestic retail prices of white rice at 22,000 baht per ton in 2012.⁴¹ The information from the MOC also confirms that the government’s average selling price was much lower than the Bangkok wholesale prices. While the selling prices of rice were 14,435.7 baht per ton in the 2011/12 wet season and 12,813 baht in the dry season of 2012, the Bangkok whole-

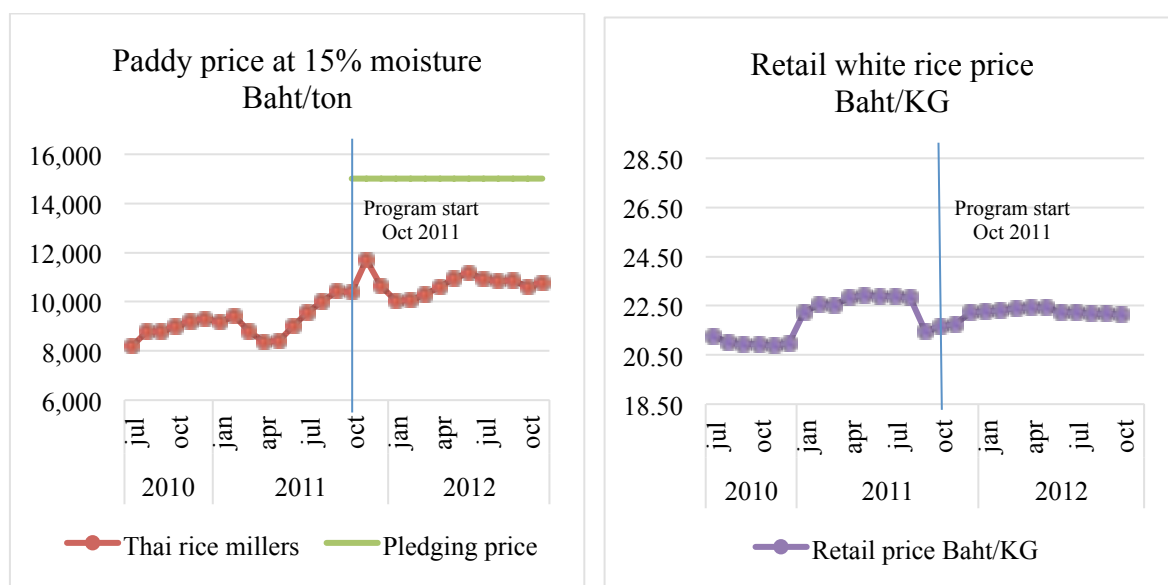
sale prices were as high as 19,635 baht and 17,266 baht per ton⁴² for the corresponding seasons. Since the government did not intervene in the domestic retail market, the retail rice price is determined by the wholesale price. Thus, the consumer subsidy can be estimated from a difference between the paddy pledging price and the wholesale price when there is no intervention⁴³ multiplied by the quantity of domestic rice sale by the government. The pledging price is the weighted average prices of four types of paddy which are converted into milled rice.

Table 4.2 provides estimates of the economic rent received by participants in the paddy pledging projects. The largest economic rents go to the farmers and the connected traders who buy cheap rice from the government. The farmers receive 8,455.98 baht for each ton of paddy sold to

⁴¹ In an op-ed article, Nipon (TDRI web site, 8 July 2013) estimates that the total rice demand (domestic consumption, export and running stock in the hand of rice traders) between October 2011 to February 2013 was 28.137 million tons, while there were only 17.827 million tons of supply of rice in the market (rice production from 3 crops minus the pledged rice in 3 projects, i.e., 2011/12 crop, 2012 crop and 2012/13 crop). This implies that the government must have released at least 10.31 million tons of rice into the market. But in the parliament query session on 20 March 2013, the Deputy Minister of Commerce informed the Parliament members that the government sold only 7.072 million tons of rice. The discrepancy between these two figures probably explains the missing rice stock of 2.9 million tons.

⁴² Both the selling and wholesale prices are the weighted average of prices of four major varieties of rice purchased by the government, i.e., non-glutinous, glutinous, jasmine and Pathumthani. The weights are their quantity shares of total amount of purchase in each project.

⁴³ The equilibrium price without intervention is calculated from the models of rice markets, using the assumption of constant price elasticities of rice demand and supply. There are two models of rice markets, a two price model in the first 25 months of the policy and a single market in the last 6 months. See details in Nipon, et. al. 2014.

Figure 4.2 Expensive paddy, but cheap rice

Source: Paddy price at Ayutthaya province from the Thai Rice Miller Association. Retail rice price from the Bureau of Trade and Economic Indices, Ministry of Commerce.

Table 4.2 Estimates of the economic rent received by participants in the paddy pledging projects

	Rent (Million baht)			
	From government	From other participating parties	Total	Baht/tons
Farmer	296,531.16		296,531.16	8,455.98
Miller	54,025.02		54,025.02	1,540.59
Warehouse	7,185.84	2,454.73	9,640.58	274.91
Surveyors	483.06	1,753.38	2,236.44	63.78
Consumers	138,488.42		138,488.42	8,461.11
Connected trader	84,476.20		84,476.20	5,161.17
Total	573,492.58	11,905.23	585,397.81	

Note: Calculation of economic rent is as follows;

1. Farmers' rent = the difference between the pledged price and the equilibrium price* total pledged rice.
2. Millers' rent = milling fee of 500 baht per tons + bag cost of 45 baht per bag + transportation cost 13 baht per tons + profit from higher mill ratio. This is over-estimated because the milling cost is not accounted for.
3. Warehouses' rent = rental fee of 2 baht per bag/month + extra charge of 7 baht per bag by the warehouse owners on the rice delivered by millers.
4. Surveyors' rent = 2 baht per bag from government + 5-baht per bag extra charge by the surveyors on the millers.
5. Consumers' rent = the difference between the pledged price and the equilibrium price * domestic consumption.

Source: (1) Poapongsakorn, et. al. 2015.

(2) National Rice Policy Committee report no. 2/2014 (July 28, 2014).

(3) Paddy and wholesale rice prices from the Association of Millers and Department of Internal Trade.

the government (or 42%-56% of the pledging prices). Total rent to farmers are 296.5 billion baht. Consumer received the subsidy of 138.5 billion baht.⁴⁴ The corruption money received by the connected traders is 5,161 billion baht. The economic rents to millers, the fourth largest source of rent, is 54 billion baht. Finally, total rents to the warehouse owners and the surveyors amount to 11.88 billion baht.

Since everyone who participated in the paddy pledging scheme benefited, it is extremely difficult for any elected government to rectify the folly of the rice pledging scheme at once. In the event, the project was doomed simply because the government ran out of money, having imposed a ceiling of 500 billion baht at the start of the program, and with only a small amount received from the sale of rice exhausting that credit line.

It should be noted that the policy also benefited farmers in the neighboring countries as rice was smuggled through the border provinces and ended up in the paddy pledging scheme. Rice exporting countries also benefited from less competition from Thai exporters. Some Thai exporters, who lost their business in Thailand, have started investing in the neighboring countries, boosting the competitiveness in rice export of the Thai competitors.

Fiscal loss and social costs of the paddy pledging policy

The phenomenal political success of the paddy pledging policy was purchased with a huge financial cost and other important social costs. It is also plagued with widespread corruption at all levels (a testimony by a chairperson of the SFACP with the Senate Committee on Commerce and Economics, Bangkok Post, July 6, 2013) - an issue for further research. After presenting the estimates of fiscal loss,

this part will describe three other important social costs of the policy, i.e., the effect on the quality of Thai rice, the social cost of rent-seeking activities, and the impact on the destruction of the efficient competitive rice market.

The paddy pledging policy lasted for two and a half years, over five cropping seasons. As mentioned in Part 2, as of May 2014 total costs of the rice pledging policy are 994.59 billion baht (USD 31.08 billion), which consist of 857.24 billion baht to purchase paddy from farmer (or USD 26.79 billion⁴⁵), 59.27 billion baht of operation costs, 39.76 billion baht of interest payment, and 22.44 billion baht of impaired value of rice stockpiles.

The revenue from rice sale consists of actual revenue between October 2011 and May 2014 reported by the BAAC, and the value of existing stockpiles on May 31, 2014. To value the rice stockpiles, we use "the net market prices of rice", i.e., the market prices of rice minus the distribution cost of the rice traders. For white rice, we use the average fob prices of 5% Vietnamese and Indian white rice, plus USD 50 per ton because Thai rice usually sells at the premium. The marketing cost is USD 31.25 per ton. For the jasmine, glutinous and broken rice, the wholesale Bangkok prices are deducted by the distribution cost of USD \$30.3-50 per ton.

Since there are still large rice stockpiles, estimated at 18.6 million tons in May 2014, it will take years to release all the government stockpiles. In the past when there were 5-6 million tons of rice stockpiles, it took about five years to sell them all. This paper, therefore, will provide the estimates of expected fiscal loss (both as of now and

⁴⁴ This is smaller than consumer surplus because it is the price difference multiplied by the amount of rice sold by the government.

⁴⁵ The exchange rate is 32 baht per US dollar.

in the future) for the five paddy pledging projects under three scenarios, i.e., the remaining rice stockpile is valued at the net average market prices in May 2014, all of the remaining rice stockpile is sold in five years and in ten years. The selling rice price is assumed to be constant at the average prices between January 2013 and May 2014.

The fiscal loss of the five paddy pledging projects under the respective scenarios is presented in Table 5.1. It is 595.4 billion baht⁴⁶ (or about 63% of the acquisition cost of paddy) when the stock is valued at the May 2014 price. The loss will be higher, the longer it takes to sell all the remaining stockpiles. That is if it takes five years to sell all the stockpiles, the loss will increase to 686 billion baht, and surge to 885.4 billion baht for 10 years. Therefore, it is not too exaggerated to argue that had the the scheme continued for a few more years, it will crowd out all other development projects, let alone the increasing risks of fiscal crisis.

Our estimates of loss in the first scenario is higher than that calculated by the official estimate emanating from the Ministry of Finance. Its estimated loss for the first two crops in 2011-12 is 136.9 billion baht as of January 31, 2013.⁴⁷ The official source used the actual prices of rice most recently sold by the government, which are higher than our “net” market prices, to value the existing rice stock. Moreover, the subcommittee’s operation costs do not take into account the impairment value of the rice stockpiles.

The loss can be decomposed into five main components, i.e., the producer subsidy, the consumer subsidy, loss from selling at lower price than market price (or corruption), operation expenses and impairment value of rice stockpiles. The estimation method is described in Table 5.2. It is not surprising that producer subsidy,

estimated at 296.53 billion baht, is a major component of the loss (49.8%). What is surprising is that consumer subsidy, loss from rice sale and operation costs account for as much as 50.2% of total loss. The paddy pledging policy is an unnecessarily expensive scheme to help the farmers. Had the government provided direct subsidy to the farmers, it would have saved as at least 298.8 billion baht.

In addition to the fiscal cost to be borne by millions of taxpayers, the paddy pledging policy has generated other social costs as well as producer and consumer surplus. The social costs include a decline in export revenue, two kinds of dead-weight loss (i.e., the traditional one being caused by the policy-distorted excess supply of paddy, and the second one being caused by the government’s export restraint), and the loss from impairment value of rice stockpiles.

⁴⁶ The nation-wide inspection of all rice stock by the military government in August 2013 finds that 85 % of rice in the stock is of sub-standard, poor quality and wrong varieties of rice. So the estimated loss increases to 660 billion baht (Nipon, et. al. 2015). This is due to the several reasons, i.e., farmers sold bad quality rice to the government, millers and warehouse owners sold the good quality of pledged rice in the market and delivered the bad quality to the government warehouses.

⁴⁷ Until July 2013, the government always dismissed that the rice pledging policy resulted in large financial loss, despite the fact that there are reports and independent studies which show the fiscal loss of at least one hundred billion baht per year. For example, the SFACP reports that the loss of 136.9 billion baht for the first two projects (May 2013) and 332.4 billion baht for the first three projects (October 2013). It argued that since there were still large rice stockpiles, the stock should be valued at the cost of acquisition. Yet when it became clear that the policy suffered big loss, the Minister of Prime Minister Office argued that the loss was attributable to the high pledging price, the package rice policy to help poor consumers and donation for natural disaster victims (Press conference by the Minister, Bangkok Business Online 18 June 2013). He failed to mention one of the most important factor, i.e., the low selling price to its cronies.

Normally, the price support policy will hurt the consumers who have to pay higher price for rice. But as mentioned, the government had maintained the retail rice price at the level which was close to the period before the implementation of the pledging scheme. Moreover, the government's fire sale of rice in order to generate revenue to pay its debt to the farmers in the early 2014 also resulted in a sharp decline of rice and paddy prices. Thus consumers also benefited from the policy. An interesting question is whether the benefits of the policy outweigh its costs. In a separate research paper (Nipon, et. al., 2015), the author estimates the welfare cost of the rice pledging policy by constructing an economic model of the rice markets between October 2011 and April 2014. The result, which can be obtained upon request, shows that the social cost of the policy of the rice pledging policy exceeds its benefits to the producers and consumers by 122.6 billion baht (or USD 3.83 billion).

If the financial losses of the paddy scheme were to be fiscalized as is planned by the current government. The national debt would increase by about 4.6% of GDP in 2013, and taxpayers would have to shoulder the servicing of this debt. This loss would be higher, the longer it takes the government to sell its remaining stockpiles of 18.6 million tons. On the other hand, if the government were to rapidly dispose of the stock, it will depress the market, thereby hurting the welfare of the farmers.

Other important losers include most exporters (except a few connected exporters) and the rice brokers (selling information services) who lost most, if not all, business. The export prices of Thai rice were too high to be competitive in the world market. Most exporters could not secure rice supplies at the competitive price, both from the market and the government, except a few exporters who had political connection.

Since the government controlled 50% of the rice, there was no demand for the service of the rice brokers from the rice exporters. Thus most, if not all, rice brokers were out of business.

The policy has also resulted in other important social costs which could not be quantified. The first one is the impact of the government intervention on the structure and competition in rice market. Among more than 2,000 commercial millers and thousands of community millers, only 954 millers were able to do business with the government. Competition among the participating millers was also limited since they were prohibited to buy paddy from the registered farmers outside their province, except in the provinces where there was not enough milling capacity. The non-participating millers experienced sharp decline in their milling business in the last two and a half years. Perhaps the most important negative impact is the government's secret rice sale to its cronies, as already mentioned. Since the government controlled 50 % of rice production, rice wholesalers, packers and exporters had to buy rice from the government. But only a few connected firms were able to buy rice from the government, and then resold it to wholesalers, rice packers and exporters, reaping substantial economic rent. As a result, the structure of bagged rice market and export have changed. Maboongkrong, which used to be the largest rice packer, were replaced by companies that managed to buy rice directly from the government, e.g., Hong Thong and CP. The privilege of connected traders also affected the export share. Siam Indica, a recently established firm with good connections, became one of the top three largest rice exporters. Exporters that are well connected with the government also experienced the increase in their market share. Therefore, the highly efficient rice markets were replaced by cronyism.

Secondly, the quality of Thai rice has declined. Thailand had successfully built the reputation of quality rice and thus Thai rice was able to sell at premium in the world market, thanks to the competitive export market which provides incentives for exporters to demand for high quality of rice from the millers, who in turn, offer higher price to buy quality paddy from the farmers. But the paddy pledging policy encouraged the farmers to expand their production and increase the crop cycles without having to worry about the quality of the rice. Some farmers switched to the short duration varieties which are low quality rice. Millers did not have to carefully check the quality of paddy because they were hired to mill the paddy. Their profit depended only on the quantity of paddy they were able to buy under the rice pledging scheme, and not on the quality of paddy. Except the periodic fumigation every three months, the stock of rice in the rented granaries is not properly maintained and well managed as that of the private traders. After two years of market intervention, some consumers began to complain about the quality of rice, particularly the problems of chemical residue from the fumigation of rice, the smell and the yellow color (Matichon, July 16, 2013). The news of contamination and chemical residues found in rice, though might not be so serious as posted in the social media, is just a tip of the iceberg about the quality of rice in the stockpiles when they are released into the market.

Finally, there are some emerging evidence that the economic rents are being dissipated, resulting in the waste of real resources. The farmers had rapidly expanded their production, resulting in the increasing demand for paddy fields and higher land rent.⁴⁸ Many farmers, who switched from upland crops and fruit orchards to rice, incurred high investment cost to level their land for rice production. The switch resulted

in a decline in the output of alternative crops, particularly sugar cane. Use of and prices of fertilizer and pesticides also increased rapidly. As a result, the cost of production of rice in some marginal lands might creep up to the pledging price of 15,000 baht. This is a classic economic example of “price determines cost”. The increase in rice production will end up in the public stockpile. Its value will deteriorate rapidly, while the storage costs increase exponentially. Rice milling capacity was also expanded. Total estimated milling capacity is more than 90 million tons, comparing to the annual paddy production of 35 million tons. A large number of new warehouses had been hurriedly constructed since the pay-back period is only one year. The termination of the paddy pledging policy by the military junta will cause financial trouble for many of these over-expanded mills and granaries.

Conclusion

This paper assesses the performance of the paddy pledging policy which include its benefits, impact on export, fiscal cost and other social costs.

The paddy pledging policy is perhaps the most expensive program to subsidize the farmers in the modern Thai history of government intervention. Only one third of the farmers, most of whom are the middle class and well-to-do farmers in the irrigated areas of Central Plains and Lower North, benefited directly from the policy. The government spent almost USD 30.75 billion (or 41.3 % of the fiscal budget in 2013) in the last two and a half years. The fiscal loss is estimated at USD 18.6 – 27.7 billion, depending on how long it takes for the government to sell all of

⁴⁸ Annual land rent for rice farms in the Central Plains increases from 1,000 baht per year to 1,000 baht per season. In some areas where it is possible to grow three crops in a year, the rent triples.

the rice stockpiles. The policy has also resulted in important social costs, i.e., higher production cost, loss of export market, declining rice quality, rent dissipation, crony rice trade and last but not least corruption – an issue in the forthcoming paper by the author (Nipon, et. al. 2014). All these losses could have been completely avoided had the government simply provided direct subsidy to the farmers without market intervention.

As a result of the military coup in May 2014, the paddy pledging scheme is now eliminated. But it will take years to sell the huge stockpiles of rice and for Thai exporters to regain its competitiveness in the world market, particularly its reputation of being the most reliable and dependable sources of rice export as well as quality rice.

However, in the forthcoming election, some political parties will certainly re-introduce the paddy pledging policy which is still the most popular policy among the farmers. The challenge is how such populist policy can be fiscally disciplined so that it does not cause as much damage as the defunct paddy pledging policy and yet maintains the freedom of policy campaign by the political parties. To do so, one needs to draw lessons from the mistakes of the rice pledging policy.

The first policy mistake is to set the pledging price above the world rice price, despite the fact that Thailand is a rice exporting country. Moreover the government promised to buy every grain of rice. As a result, the fiscal cost ballooned and rice export sharply declined. Yet the government used its unchecked power to borrow money from the government-owned specialized financial institutions (e.g., BAAC, Government Savings Bank, etc.) to finance their promised populist policies. The loans are off-budget and thus are not subject to fiscal discipline. Moreover, the government has the sole authority to determine and use the loan without having to

be approved by the parliament. In fact, political parties have the right to campaign on populist platform but must also be accountable to the voters, particularly the taxpayers. Thai governments have long-term reputation of fiscal discipline (Warr and Bhanupong, 1996), thanks to the Budget Procedures Act legislated in 1959. But the paddy pledging policy and most populist policies are usually financed by off-budget borrowings which are not subject to parliamentary approval. Thus Thailand will need to have a new fiscal law requiring the government to submit an annual budget for its campaigned populist policies to the parliament after they win the election. Given the budget constraint, politicians will learn how to be more accountable to the voters and prioritize their policies.

The second policy failure is an attempt to corner the export market in order to increase the export price. Mr. Thaksin Shinawatra, a former prime minister who first initiated the rice pledging policy, wrongly believed that as the world largest rice exporter, Thailand can increase the export price by withholding large enough amount of rice from the market. As a consequence, Thailand dropped from the world largest rice exporter to the third rank in 2012 and 2013, without a significant impact on the unit price of rice exported.

The third mistake is the execution failure of not requiring the operating government agencies to prepare the financial accounts and consolidated accounts.⁴⁹ As a result, the government did not know the actual financial status of the scheme and the looming liquidity shortage until it was too

⁴⁹ In fact, the National Rice Policy Committee established a sub-committee to prepare the consolidated accounts after the end of each paddy pledging project. But the government refused to acknowledge the fiscal loss reported by the subcommittee. The subcommittee also did not have access to important information on rice sale from the DFT.

late. That is why it failed to pay 100 billion baht to more than one million participating farmers who already sold paddy to the government in December 2013, when it decided to dissolve the parliament. One possible explanation why the government agencies did not prepare the financial accounts is that the government wanted to withhold the information on government rice sale to its cronies. A policy implication is to revise and strengthen the public information law.

The last, but not least, execution failure is that the paddy pledging policy was vulnerable to systemic corruption at all stages of intervention (a testimony by the Chairperson of SFACP in the hearings by the Senate Committee on Economy, Commerce and Industry in June 2013; Warong 2014). One important lesson is that an effective measure to prevent corruption is that the government can provide direct assistance to farmers without having to intervene in the rice market.

In a country with large urban-rural income gap, there is a strong equity rationale for agricultural subsidy. But farmer subsidy can be provided without any need for market intervention as long as there is no market failure. In fact, there are ways to assist the poor farmers without any market intervention or with minimal intervention. The policy of income guarantee for farmers by the Abhisit government between 2009-10 is a case in point where the government provided a direct cash subsidy to the farmers without any market intervention. The policy also limited the amount of subsidy for each farmer by imposing a ceiling on the size of land holdings that were eligi-

ble for subsidy. Another necessary poverty reduction policy is to enhance productivity both in agricultural and non-agricultural activities. In a land-abundant but labor short economy like Thailand, labor productivity improvement should be the priority.

Given the large rural population and wide income disparity, there will always be political pressure for increasing agricultural subsidy and market intervention (Timmer 2014). A long-term policy to accelerate the structural transformation is needed if the urban-rural income gap is to be reduced. A reduction in the share of agricultural workforce and increase in agricultural productivity will not only close the rural-urban income gap, but will also mitigate the political pressure for agricultural subsidy and reduce its fiscal cost.

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⁵⁰ The long-overdue payment under the rice pledging scheme caused distress to many farmers, forcing hundreds of them to stage the protests in early 2014 (globalvoicesonline.org, February 2014). A few farmers who did not receive money from their paddy sale to the government committed suicide (WWW.nationmultimedia.com, February 1, 2014; ASTV, January 23, 2015).

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Appendix 1

Estimates of maximum government stock and minimum quantity of rice sold by the government under the rice pledging scheme between October 2011 and September 2013

(million tons)

Item	2010/11 (Oct.10- Sep.11)	2011/12 (Oct.11- Sep.12)	2012/13 (Oct.12- Sep.13)	Total
(1) Beginning stock	0.00	2.45	0.00	
(2) Gov. sale from previous project (before 2009) ^a	1.55	0.30 ^b	0.00	0.30
(3) Gov. stock from previous year	0.00	0.00	9.14	
(4) Rice production (milled)	21.92	23.47	23.39	46.86
- Wet season	15.67	15.93	16.78	
- Dry Season	6.25	7.54	6.62	
(5) Pledged milled rice (deducted by milling fee & transport)	0.00	13.66	13.47	27.13
- Wet season	0.00	4.39	9.01	
- Dry Season	0.00	9.69	4.83	
- Milling fee (paid with byproduct of rice) ^c	0.00	0.42	0.37	
(6) Supply in the market ((1)+(2)+(4)-(5))	23.47	12.57	9.92	22.48
(7) Demand	21.01	17.09	17.73	34.81
- Seed used	1.17	1.17	1.13	
- Consumption	9.18	9.22	9.26	
- Export	10.67	6.70	7.34	
(8) surplus (+/-) = (6)-(7)	2.45	-4.52	-7.80	-12.32
(9) Estimated Gov. sale	0.00	4.52	7.80	12.32
(10) Estimated ending Gov. stock (3) + (5) – (9)	0.00	9.14	14.81	14.81
(11) Balance Carry forward (9)-(8)	2.45	0.00	0.00	
(12) Stock reported by PWO. (September)		9.50	16.50	16.50
(13) Stock reported by minister of commerce (September)		6-7	15.72	15.72

Note: a) Assuming that the old rice from the previous pledged project (before 2009) that the government sold to the connected private trader was delivered to the government warehouse instead of the new rice under the pledged project in 2010-2012. According to interview with rice trader, the new rice from the rice pledging projects was sold to the market.

b) The government sold 0.3 million tons of old rice to Indonesia undelivered because the rice quality

c) The milling fee calculated from the rate stipulated by the National Rice Policy Committee. The transportation cost of 300 km is assumed.

Source: Poapongsakorn, et al. 2015.